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A: Prime plays a very, very significant part. These are our most engaged customers. It's a paid programme and when you pay for something, it means that you see more value for it than other programmes. This (the growth) reflects on each of our pillars—shopping and entertainment. On the shopping front, we take the best from the world and we also innovate for India. On video, there is worldwide content and very strong local content. What drives that growth is—how much of free shipping you get and at what speed, like if you can get 30 per cent of your orders on the same day without having to pay anything extra, that's a big thing. Prime one-day delivery is available on millions of items. On entertainment, you get access to some of the best content. Entertainment is not only OTT, it also includes Music, Kindle, and various other programmes. In 2022, over 70 per cent of new Prime members shopped from smaller towns like Anantnag (Jammu & Kashmir), Bokaro (Jharkhand), and Tawang (Arunachal Pradesh).

We don't share absolute numbers [on Prime membership] at a country level. But, I would say that Prime in India has been one of the fastest-scaling Prime programmes in the world. We are really happy with the way the Prime programme has scaled up in the country.

Q: Do you see signs of India's e-commerce market maturing? What about profitability?

A: I don't see India maturing as an e-commerce mar-

ketplace for the next couple of decades. But I would not confuse maturity with profitability. Maturity is when most of the innovations are in place, when growth slows... there is a lot of headroom for that. Amazon has a lot of experience in e-commerce and we have a playbook on how to drive sustainable growth. This concept, where at some point you grow without looking at profit and then just make profit, is not how we operate. It's always customer backwards with the right balance.

Every business has a certain investment and payoff cycle. E-commerce is investment heavy at the beginning because you have to set up the network, make enough digital investments and at a certain point, it would be profitable. We're pretty much on that journey.

India is a unique and diverse market. We've operated across many countries, and the people running Amazon in India have a great deal of expertise in the country. The best thing to do—which is what we've done in India—is to take the global learnings and dovetail them with the learnings from India.

There have been ups and downs but we are pretty much on our journey to achieving profitability as per the playbook. I can't share the timelines, but I would say the playbook is in line with what we've done in other countries; there is a clear plan for profitability.

Q: How will Amazon get the next wave of users and drive the next phase of growth in India?

A: We have to earn the right to win the next 200 million customers. For customers, we have to innovate more. This innovation could be as simple as voice search, visual search, simplification and personalisation, etc. We have acquired a company called GlowRoad that is into social commerce, which will help us in this journey. For sellers, we have a programme called Smart Commerce, which is a suite of SaaS tools to help small stores digitally upload their inventory to a marketplace or create a storefront. If we are attractive enough, a lot of them will come on board Amazon. We need to innovate much harder. Customers are choosy and picky, and rightfully so... Therefore, our focus, as we get into the next decade, is on how to get the next 200 million customers and the 15-18 million inventory points in this country on to the platform. The next two decades of growth will come from driving more and more online adoption. Think about grocery or fashion, the penetration online is so low. There is a lot of growth the retail industry will see from omni-channel. So, a lot has to be done in the core part of the business. **BT**

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